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Gupshup raises \$60M in equity and debt, leaves unicorn status hanging

Gupshup, a business messaging startup that began its journey in India over two decades ago and became a unicorn four years ago, has raised a new \$60 million round — but is keeping its new valuation under wraps.

In 2021, Gupshup raised two funding rounds within four months, securing \$340 million from prominent investors, including Tiger Global, Fidelity Management, Think Investments, and Malabar Investments. These rounds — the startup's first in roughly a decade — valued Gupshup at \$1.4 billion. However, Fidelity, which led the round following its unicorn milestone, slashed its internal valuation of the startup at least three times between 2023 and 2024, bringing it down to as low as \$486 million.

IMAGE CREDITS:

ANDRIY ONUFRIYENKO / GETTY IMAGES

The new funding round, which combines equity and debt financing from Globespan Capital Partners and EvolutionX Debt Capital, aims to help the San Francisco-headquartered startup expand its presence across its high-growth markets, including India, the Middle East, Latin America, and Africa.

The startup would not reveal the exact debt portion, although its founder and CEO Beerud Sheth told TechCrunch that the equity part is “a little more than half.”

In 2004, Gupshup — derived from Indian slang meaning “conversations” — started as a platform to help businesses connect with their customers through text messages. It gained popularity, as text

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messages were not free at the time, and people were seeking ways to send messages to their friends and community groups. However, as communication shifted from short messaging service (SMS) to WhatsApp and Rich Communication Services (RCS), the startup moved to these avenues with its chatbot services. Now, as AI has become a catchall term, and AI agents — software that can perform specific tasks on behalf of users — have emerged everywhere, Gupshup has started enabling businesses to deploy agents.

“There’s a lot of demand coming from enterprises. Everybody needs to build these AI agents, which work through messaging like RCS and WhatsApp or through voice. So, building out these agents, there’s huge demand, and we need to support it,” Sheth said.

Globally, AI agents are [gaining traction](#), with startups building them drawing strong investor interest. Tech giants like [Amazon](#), [Google](#), and [Microsoft](#) are also exploring how to bring more of these agents to users through their own platforms. The result: Competition is heating up.

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Gupshup does not view the rising competition as a threat. Sheth pointed to the startup's substantial install base — which exceeds 50,000 customers across more than 100 countries — and its track record of product innovation, driven by years of experience in business messaging, strategic acquisitions, and internal R&D.

“Businesses cannot use simple foundation models off the shelf and just put them in front of customers. They need a lot of customization to be done, and that's where Gupshup comes in. That's what we provide,” he noted.

Since its last round in July 2021, the startup “tripled” its revenue and grew its profitability, Sheth said. However, it is unclear whether that resulted in an increased valuation, as, he said, this latest round was not priced.

“As a founder, you focus on value, and the valuation will follow,” Sheth said when asked whether he still considers the startup a unicorn. “We operate ourselves like we are going to be a big company.”

Alongside expanding geographically, the startup aims to utilize its fresh funding to enhance its products, which are used in industries such as automotive, banking, e-commerce, fintech, media, payments, retail, and travel. Its products also include click-to-chat ads, an AI campaign copilot, agent assist, and campaign manager.

Gupshup claims to power over 120 billion messages annually for thousands of enterprises. Looking ahead, the startup sees an IPO as its next major milestone.

“We’re talking to all our advisors, lawyers, bankers, accountants, and so on, to figure this out,” Sheth said.

The startup has no specific timeline for its public listing, although Sheth told TechCrunch that it could happen in 18 to 24 months.

Gupshup is exploring whether it should list on Indian stock exchanges — a move that makes strategic sense, as the startup views India, where WhatsApp dominates, as a more favorable market. Among the reasons: It’s easier to communicate its story to local retail investors, who are more familiar with WhatsApp and understand how Gupshup’s products, including its AI agents, operate within the platform. However, since Gupshup is domiciled in the U.S., a flip to India would trigger tax liabilities, which could require additional funding.

The IPO “is the one thing that we don’t control entirely. The calendar depends as much on external factors as it does on the company,” Sheth said.

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Vanguard cuts Indian ride-hailing giant Ola's valuation by 52%

Manish Singh — 2:20 AM PDT · August 1, 2023

The U.S. index fund pioneer Vanguard has cut the worth of its holding in the Indian ride-hailing startup Ola by more than half since original investment, according to an analysis of its filings.

Vanguard cut the worth of its shares in Ani Technologies, Ola's holding firm, by 51.6% as of the end of May, it disclosed Monday. The asset manager marked down the holding of its Ola shares to \$25 million, from the \$51.7 million purchase price years ago, the filings showed.

The cut in worth of Ola shares' by Vanguard implies a reduction in the ride-hailing startup's valuation to

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approximately \$3.5 billion, a [decrease from \\$7.3 billion](#) at the close of 2021. (Vanguard had valued its Ola’s shares at about [\\$33.8 million](#) at the end of February this year.) Ola, founded over a decade ago, has raised more than \$3.9 billion over the years, according to Crunchbase, PitchBook and Tracxn. It was last valued at \$3.5 billion in an equity financing round in early 2017.

Meanwhile, Ola co-founder Bhavish Aggarwal has set up an AI startup that seeks to develop a large language model and is currently scouting two U.S.-headquartered AI startups for a potential acquisition, TechCrunch [reported earlier Tuesday](#). Aggarwal, who also co-founded electric vehicle startup Ola Electric, is thinking of venturing into the semiconductor design space as well.

The Bengaluru-based company joins a growing list of high-profile Indian startups that have had their valuations reduced by investors. Invesco lowered Swiggy’s valuation by almost half to [\\$5.5 billion in January](#) of this year, while Prosus has slashed the valuation of Indian edtech giant [Byju’s to about \\$5.1 billion](#). Fidelity has trimmed the worth of its holding of SaaS startup Gupshup by [more than half](#), TechCrunch first reported Monday.

Recent valuation cuts shed new light on the impact of deteriorating global market conditions on Indian startups. Last year saw a dip in funding activities within India’s startup ecosystem, yet the valuations of many larger startups remained unaltered as they either raised capital through convertible notes (thus postponing price discovery) or chose not to raise funds altogether.

It is important to note that investors evaluate the equity value of their existing startup portfolios using various methods. As a result, a significant valuation adjustment by a single investor may not necessarily reflect the views of other investors.

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Manish Singh is a senior reporter at TechCrunch, covering India's startup scene and venture capital investments. He...

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Business messaging platform Gupshup raises \$240 million from Tiger Global, Fidelity and others

Manish Singh — 12:29 AM PDT · July 28, 2021

Gupshup, a business messaging platform that began its journey in India 15 years ago, surprised many when it raised \$100 million in April this year, roughly 10 years after its last financing round, and attained the coveted unicorn status. Now just three months later, the San Francisco-headquartered startup has secured even more capital from high-profile investors.

On Wednesday, Gupshup said it had raised an additional \$240 million as part of the same Series F financing round. The new investment was led by Fidelity Management, Tiger Global, Think Investments, Malabar Investments, Harbor Spring Capital, certain accounts managed by Neuberger Berman Investment Advisers and White Oak.

Neeraj Arora, formerly a high-profile executive at WhatsApp who played an instrumental role in

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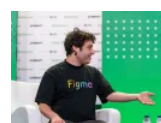


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STARTUPS



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helping the messaging platform sell to Facebook, also wrote a significant check to Gupshup in the new tranche of investment, which continues to value the startup at \$1.4 billion as in April.

In an interview with TechCrunch earlier this week, Beerud Sheth, co-founder and chief executive of Gupshup, said he extended the financing round after receiving too many inbound requests from investors. The new investors will provide the startup with crucial insight and expertise, he said. The round is now closed, he continued.

The startup, which operates a conversational messaging platform that is used by over 100,000 businesses and developers today to build their own messaging and conversational experiences to serve their users and customers, is beginning to consider exploring the public markets by next year, said Sheth, though he cautioned a final decision is yet to be made.

“Conversation is becoming a bigger part of doing business and it has partly been driven by the pandemic,” he said over a phone call. “Second, we have always been the leader in this space, but the product innovation we have focused on in the last two to three years has worked in our favor.”

The new investment, which includes some secondary buyback (some early investors and employees are selling their stakes), will be deployed into broadening the product offerings of Gupshup, he said. The startup is also eyeing some M&A opportunities and may close some deals this year, he added.

AI



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Rebecca Bellan - 19 hours ago

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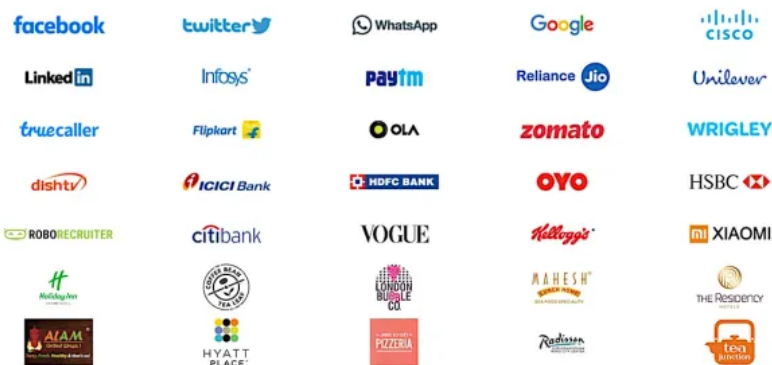
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SOME OF THE NOTABLE CUSTOMERS OF GUPSHUP, WHICH LEADS THE BUSINESS MESSAGING MARKET.

IMAGE CREDITS: GUPSHUP

Before Gupshup became so popular with businesses, it existed in a different avatar. For the first six years of its existence, Gupshup was best known for enabling users in India to send group messages to friends. (These [cheap texts and other clever techniques](#) enabled tens of millions of Indians to stay in touch with one another on phones a decade ago.)

That model eventually became unfeasible to continue, Sheth told TechCrunch in an earlier interview.

“For that service to work, Gupshup was subsidizing the messages. We were paying the cost to the mobile operators. The idea was that once we scale up, we will put advertisements in those messages. Long story short, we thought as the volume of

messages increases, operators will lower their prices, but they didn't. And also the regulator said we can't put ads in the messages," he said earlier this year.

That's when Gupshup decided to pivot. "We were neither able to subsidize the messages, nor monetize our user base. But we had all of this advanced technology for high-performance messaging. So we switched from a consumer model to an enterprise model. So we started to serve banks, e-commerce firms and airlines that need to send high-level messages and can afford to pay for it," said Sheth, who also co-founded freelance workplace Elance in 1998.

Over the years, Gupshup has expanded to [newer messaging channels](#), including [conversational bots](#) and it also helps businesses set up and run [their WhatsApp channels](#) to engage with customers.

Sheth said scores of major firms worldwide in banking, e-commerce, travel and hospitality and other sectors are among the clients of Gupshup. These firms are using Gupshup to send their customers transaction information and authentication codes, among other use cases. "These are not advertising or promotional messages. These are core service information," he said.

"We have followed Gupshup's progress for a long while and believe that they are the most evolved customer communications platform in India and increasingly in other emerging markets, with a leadership position in the most attractive and fastest growing subsegments of the market," said Sumeet Nagar, managing director of Malabar Investments, in a statement.

"We believe that Beerud and team have the unique opportunity to expand the addressable market on

the back of new offerings and scale the business up significantly, which is a perfect recipe for massive value creation. I have known Beerud for over three decades, and all of us at Malabar are delighted to partner with Gupshup in the next stage of their journey.”

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